



Project management formulas and metrics are **quantitative tools** used to measure, monitor, and control the performance of a project. They provide managers with objective data to make informed decisions about cost, schedule, risk, and resource efficiency.

Together, these formulas and metrics form the **analytical /quantitative backbone of project management**, enabling managers to:

- Measure **progress** (Earned Value, SPI).
- Forecast **costs** (ETC, EAC).
- Assess **risks** (Probability $\times$ Impact).
- Evaluate **value** (ROI).
- Optimize **resources** (Utilization).



Earned Value Formulas

- **Definition:** A set of performance metrics that measure project progress in terms of cost and schedule.
- **Key Formulas:**
 - **EV (Earned Value):** $\% \text{ Complete} \times \text{Budget}$. (Value of work actually completed)
 - **CPI (Cost Performance Index):** $\text{EV} \div \text{AC}$ (Actual Cost/ cost efficiency).
 - **SPI (Schedule Performance Index):** $\text{EV} \div \text{PV}$ (Planned Value/ schedule efficiency).
- **Purpose:** Quantifies how efficiently resources are being used and whether the project is on track. (Shows if the project is on budget and on schedule.)



Critical Path

- **Definition:** The longest chain of dependent tasks that determines the shortest possible project duration.
- **Formula:** $\text{Float} = \text{LFT (Latest Finish Time)} - \text{EST (Earliest Start Time)}$.
- **Purpose:** Identifies tasks that cannot be delayed without delaying the entire project.



Estimate to Complete (ETC)

- **Definition:** Forecast of the cost required to finish the remaining project work.
- **Formula:** $\text{ETC} = (\text{BAC} - \text{EV}) \div \text{CPI}$.
- **Purpose:** Helps predict future spending and manage budgets.



Risk Probability & Impact

- **Definition:** A method to assess risks by multiplying their likelihood by their potential impact.
- **Formula:** Risk Score = Probability $\times$ Impact.
- **Purpose:** Prioritizes risks so teams focus on the most critical ones.



Project ROI

- **Definition:** Return on Investment measures the profitability of a project.
- **Formula:** ROI (%) = (Net Benefit $\div$ Total Cost) $\times$ 100.
- **Purpose:** Evaluates whether the project delivers sufficient financial value compared to its cost.



Resource Utilization

- **Definition:** Measures how effectively resources (people, equipment, time) are being used.
- **Formula:** Utilization = Actual Hours $\div$ Available Hours.
- **Purpose:** Ensures resources are neither underused nor overburdened.



Additional Metrics

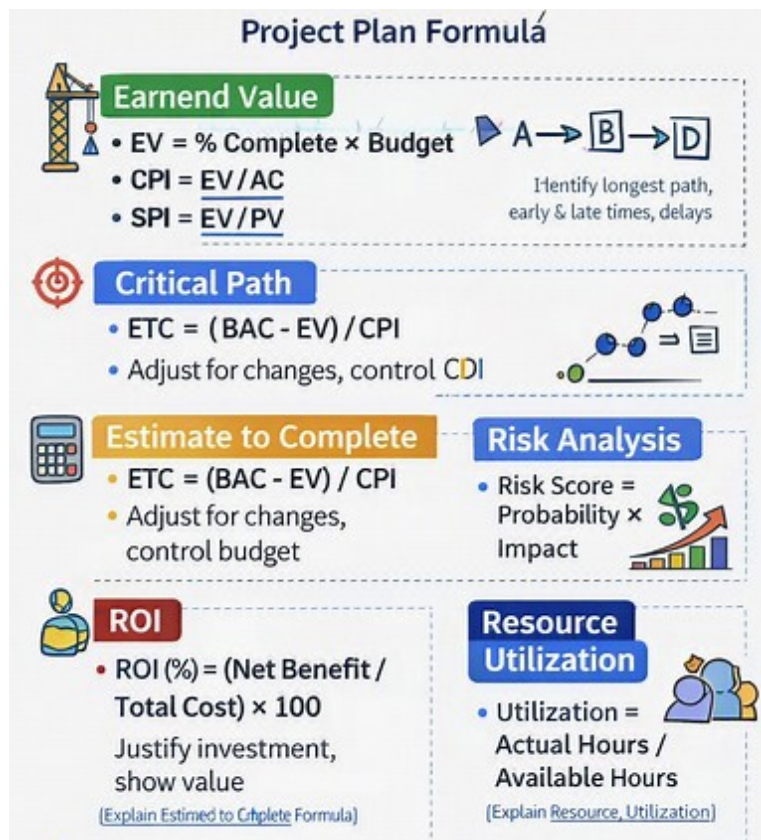
- **Definition:** Supplementary measures that provide deeper insights into project health.
- **Examples:**
 - **SPI (Schedule Performance Index):** EV $\div$ PV.
 - **TCPI (To-Complete Performance Index):** (BAC – EV) $\div$ (BAC – AC).
 - **Burn Rate:** Speed at which budget is consumed.
 - **EAC (Estimate at Completion):** BAC $\div$ CPI.
- **Purpose:** Track efficiency, schedule adherence, and completion forecasts.



Project Management Formula (Mathematical Formula)

<u>Category</u>	<u>Key Formula / Concept</u>	<u>Purpose</u>
Earned Value Formulas	$EV = \% \text{ Complete} \times \text{Budget}$ $CPI = EV / AC$ $SPI = EV / PV$	Measure cost & schedule performance
Critical Path	$\text{Float} = \text{LFT} - \text{EST}$	Identify longest path, avoid delays
Estimate to Complete (ETC)	$ETC = (\text{BAC} - EV) / CPI$	Forecast remaining cost & control budget
Risk Probability & Impact	$\text{Risk Score} = \text{Probability} \times \text{Impact}$	Assess, prioritize, and mitigate risks
Project ROI	$ROI = (\text{Net Benefit} / \text{Total Cost}) \times 100$	Evaluate profitability & justify investment
Resource Utilization	$\text{Utilization} = \text{Actual Hours} / \text{Available Hours}$	Monitor workload & optimize efficiency
Additional Metrics	SPI, TCPI, CPI, Burn Rate, EAC	Track performance & completion forecasts

✨— These formulas form the analytical backbone of project management, enabling professionals to **quantify progress, control costs, assess risks, and optimize resources** for predictable success.





✨— Mastering these formulas enables precise control over **cost, schedule, risk, and efficiency**, forming the quantitative foundation of successful project management.

- **Earned Value** → $EV = \% \text{ Complete} \times \text{Budget}$, $CPI = EV / AC$, $SPI = EV / PV$
- **Critical Path** → $\text{Float} = LFT - EST$, identify longest path
- **Estimate to Complete** → $ETC = (BAC - EV) / CPI$
- **Risk Analysis** → $\text{Risk Score} = \text{Probability} \times \text{Impact}$
- **ROI** → $ROI (\%) = (\text{Net Benefit} / \text{Total Cost}) \times 100$
- **Resource Utilization** → $\text{Utilization} = \text{Actual Hours} / \text{Available Hours}$

Quick Reference

<u>Metric</u>	<u>Definition</u>	<u>Formula</u>
Earned Value	Measures progress in terms of cost & schedule စီမံကိန်း၏ တိုတက်မှုကို ကုန်ကျစရိတ်နှင့် အချိန်ဇယားအပေါ် အခြေခံ၍ တိုင်တင်ခြင်း	$EV = \% \text{ Complete} \times \text{Budget}$
CPI	Cost efficiency စီမံကိန်း၏ ကုန်ကျစရိတ် ထိရောက်မှု	$CPI = EV \div AC$
SPI	Schedule efficiency အချိန်ဇယားအပေါ် အောင်မြင်မှု	$SPI = EV \div PV$
Critical Path	Longest chain of dependent tasks စီမံကိန်းအချိန်ဇယားကို သတ်မှတ်သော အရေးကြီးလမ်းကြောင်း	$\text{Float} = LFT - EST$
ETC	Forecast cost to finish remaining work ကျန်ရှိသော အလုပ်ကို ပြီးစီးရန် လိုအပ်သော ကုန်ကျစရိတ် ခန့်မှန်းခြင်း	$ETC = (BAC - EV) \div CPI$
Risk Probability & Impact	Risk score based on likelihood $\times$ impact အန္တရာယ်ကို ဖြစ်နိုင်ခြေ $\times$ သက်ရောက်မှု ဖြင့် တိုင်တင်ခြင်း	$\text{Risk} = \text{Probability} \times \text{Impact}$
Project ROI	Return on Investment စီမံကိန်း၏ အကျိုးအမြတ် အချိုး	$ROI = (\text{Net Benefit} \div \text{Total Cost}) \times 100$
Resource Utilization	Efficiency of resource use အရင်းအမြစ် အသုံးပြုမှု ထိရောက်မှု	$\text{Utilization} = \text{Actual Hours} \div \text{Available Hours}$
Additional Metrics	Extra measures (EAC, TCPI, Burn Rate) ထပ်ဆောင် စီမံကိန်း တိုင်တင်ချက်များ	$EAC = BAC \div CPI$

✨— This chart helps learners quickly connect **formulas with practical meaning**. For example:

- **$CPI < 1$** → Over budget.
- **$SPI < 1$** → Behind schedule.
- **High Risk Score** → Needs immediate mitigation.
- **$ROI > 100\%$** → Project delivers strong value.